IT Project and Procurement Policy

Effective Date:
October 05, 2026

Category:
Business

Scheduled Review:
October 2027

1. Authority

Executive Order 2016-06, Enterprise Information Technology Governance

2. Document Control

This document replaces, in its entirety, the *IT Projects Policy*, dated June 10, 2026.

3. Purpose

This Information Technology Policy (ITP) establishes the requirements to request and obtain approval of IT Projects and IT Procurements (as well as Pre-Solicitation Reviews). It also establishes the policy for the management of the Enterprise Service Catalog and the use of the Enterprise IT Service Offerings it contains.

4. Scope

This ITP applies to all departments, boards, offices, commissions, and councils under the Governor's jurisdiction (hereinafter referred to as "agencies"). Agencies not under the Governor's jurisdiction are strongly encouraged to follow this ITP.

5. Policy

For definitions of terms found within this document refer to the *IT Policy Glossary*.

5.1 IT Project Request

Designated submitters within an applicable IT Delivery Center shall complete an IT Project Request in the enterprise project management system for all new projects requiring IT support or resources.

All IT Project Requests shall contain a cost estimate that includes both internal and external costs for IT. These are business planning estimates based on the information known at the time of submission and are used to ensure necessary funding is available.

All IT Project Requests shall be routed for approval in the following sequence:

1. **Agency Business Owner**
   The request shall first be reviewed and approved by the agency's designated Business Owner. This individual is authorized by the agency to validate the project's scope and optionally approve the project requirements.

2. **Delivery Center or Enterprise Area Leadership**
   Next, the request requires approval from the individual responsible for executing the project, either the applicable Delivery Center Chief Information Officer (CIO), the Enterprise area leader, or their designee, depending on who will perform the work.

3. **Office of the Budget**
   The Budget Director (or designee) reviews the request and, if necessary, consults with the agency to confirm the appropriate project funding source.

4. **Commonwealth CIO**
   If the total estimated cost of the project is **$5,000,000 or more**, approval is required from the Commonwealth CIO (or their designee).

5. **Project Sponsor**
   The Project Sponsor holds final approval authority and is responsible for ensuring alignment with strategic priorities and resource commitments. For delivery center projects, the Project Sponsor is the agency secretary, deputy secretary, or their designee. For enterprise area projects, the Project Sponsor is the head of the respective enterprise area.

Additional details regarding the enterprise project management system and the investment classifications used for IT Projects are available in the *IT Project Standard.*

5.1.1 Project Manager Assignment

All IT Projects regardless of cost shall have a designated person performing the Project Manager role in the enterprise project management system.

5.1.2 Project Time Reporting

All Office of Administration, Information Technology (OA/IT) resources shall submit a weekly report of time spent on IT Project work that is subject to IT chargeback or other external reporting requirements.

5.1.3 Application Inventory

IT Projects associated with Commonwealth applications of any type (SaaS, COTS, MOTS, custom, etc.) are required to update the record(s) within the enterprise Application Inventory.

- An IT Project which implements or commissions a new application must include and complete a project task to create a corresponding record within the enterprise Application Inventory.
- An IT Project which modifies an existing application must include and complete a project task to modify the corresponding record accordingly within the

enterprise Application Inventory.

- An IT Project which removes or decommissions an existing application must include and complete a project task to modify/remove the corresponding record within the enterprise Application Inventory.

A link to the enterprise Application Inventory as well as instructions to update the inventory can be found in the *Application Inventory Knowledge Article* and associated *APM Guideline Document*.

5.1.4 Exemptions

The Integrated Enterprise Systems Office (IESO) has a unique project intake process and project chargeback method. They are exempt from the requirements of section 5.1 related to project intake, chargebacks, and time tracking.

5.2 IT Procurement Intake Process

Agencies shall review the *Procurement Handbook* and other resources located at *DGS Procurement Resources* for guidance with all purchasing and procurement processes and shall follow the procedures outlined in the *IT Procurement Intake Standard*.

Depending on what is being procured, an IT Vendor Risk Assessment may also be required as outlined in the *IT Risk Management Policy*.

5.2.1 Purchases in the amount of $250,000 or greater

The following purchases in the amount of $250,000 or greater require an IT Procurement Intake Request to be submitted in accordance with the guidance provided in the *IT Procurement Intake Standard*. Approval for these purchases shall be obtained through the enterprise IT Procurement Intake process:

- The purchase of cloud-based IT Services.
- IT Hardware (i.e., desktops, laptops, network, and telecommunication).
- Software or mobile applications in which the product currently exists on a contract or there is an existing license agreement already approved by appropriate legal entities (**Note:** Firmware is not considered software for the purposes of this policy).
- Purchases from an existing Statewide contract including Participating Addendums or any contract not previously approved during solicitation.
- All Renewals (unless Renewals were included in and previously approved as part of the original IT Procurement Intake Request submission).
- All maintenance and support agreements (new procurements and renewals).
- All IT consulting Services (new procurements and renewals).
- Any other IT Service.
- Contract changes, whether they are an Amendment or Change Order, resulting in subsequent purchases in the amount of $250,000.00 or greater or an amount greater than 20% of the Contract Value. This includes cumulative submissions associated with the same contract change when the combined dollar value results in the amount of $250,000.00 or greater.

Note: The $250,000 threshold applies to the total dollar value of the purchase rather than the annual spend. For example: If a single purchase costs $1,000,000, but covers a 5-year period the annual spend would only be $200,000, however an IT Procurement Intake Request is required as the total commitment for the Commonwealth is $1,000,000.

5.2.2 Purchases regardless of dollar value

The following purchases or acquisitions regardless of dollar value require an IT Procurement Intake Request in accordance with the guidance provided in the *IT Procurement Intake Standard*. Approval for these purchases shall be obtained through the appropriate Governing Bodies via the enterprise IT Procurement Intake process:

- New Software or mobile applications where the product has not previously been deployed or used within the requesting agency or delivery center or where the product does not currently exist on a contract, or there is no executed license agreement that has been approved by appropriate legal entities (**Note:** Firmware is not considered software for the purposes of this policy).
- Open Source Software (OSS) with no executed license agreement or new OSS with an executed license agreement.
- Digital Document Management.
- Production level (high-volume) printing, finishing, or mailing equipment (including plotters) or Software solutions that are intended for use in a printshop or mail room environment. Excludes stand-alone mail metering systems.
- Pilots, proof of concepts, or product demonstrations which involve any of the following:
    - Commonwealth resources such as network, data, or systems
    - providing vendor information which can be construed as future requirements for a solicitation (unless demo is open publicly via a request for information).
- Procurements of Artificial Intelligence (AI) software or services.
- IT Staff Augmentation (A new IT investment submission is not required for administrative adjustments to previously approved staff augmentation purchase orders (POs) when there is no dollar-value impact. However, a new submission is required for new purchases or increases to an existing PO when the total cost exceeds the original approval by 20% or more.)

5.2.3 Emergency Procurements (EP)

An EP is used by agencies to procure materials or services which are urgently needed. The requirements for an EP are defined in the *Procurement Handbook*. EPs shall be submitted to DGS using the EP Approval Request Form and in accordance with the guidance provided in the EP Quick Reference Guide.

For Information Technology EP meeting the criteria listed in Sections 5.3.1 and 5.3.2 of this ITP, an IT Procurement Intake Request shall be submitted in accordance with *IT*

Procurement Intake Standard. Approval for these purchases shall be obtained through the appropriate Governing Bodies via the enterprise IT Procurement Intake process and are subject to a 10- business day turnaround. The purchase may proceed concurrently with the IT Procurement Intake Request process if: 1) DGS approves, and 2) the EP meets the criteria in the Procurement Handbook (Part II, Chapter 6).

5.2.4 Sole Source Procurements (SS)

SS is a process to allow a contract to be awarded for a supply, service or construction item without competition if certain criteria is met as described in Title 62 – PROCUREMENT Chapter 5 - Source Selection and Contract Formation Section 515 - Sole source procurement. Agencies shall follow DGS guidance as described in the Procurement Handbook, Pt II Ch 05 Sole Source Procurement of Materials and Part III Chapter 05 Sole Source Procurement of Services.

For Information Technology SS procurements meeting the criteria listed in Sections 5.3.1 and 5.3.2 of this ITP, an IT Procurement Intake Request shall be submitted in accordance with the IT Procurement Intake Standard. Approval for these purchases shall be obtained through the appropriate Governing Bodies via the enterprise IT Procurement Intake process before the sole source request is submitted to DGS for approval. The IT Procurement Intake process is subject to a 10-business day turnaround.

5.2.5 Exempt Purchases

PA Compute Services (PACS) change orders for existing service are excluded from the Enterprise IT Procurement Intake process as these are routed through the Contract Change Request (CCR) process. New PACS services require an IT Procurement Intake Request.

5.2.6 Restrictions

2019 National Defense Authorization Act

Restrictions on purchases as outlined in the *2019 National Defense Authorization Act (NDAA)*, prohibit Agencies from entering, extending, or renewing a contract with a vendor that uses any equipment, system, or services that uses telecommunications or video surveillance equipment or services from certain companies *IT Procurement Intake Standard* has the complete listing of the prohibited companies.

Iran Free Procurement

The entities outlined in *Iran Free Procurement List* are ineligible to enter into a contract with the Commonwealth entity to provide for goods and services worth at least $1,000,000 per Sections 3501-3506 of the Commonwealth Procurement Code, 62 Pa. C.S. §§ 3501-3506.

Russia and Belarus Restrictions

In accordance with the *Restrictions for Associations with Russia and Belarus Act, Act 57 of 2023, P.L. 433, No. 57.*, agencies are prohibited from entering into, renewing, or extending contracts with persons or entities identified as being associated with the governments of Russia or Belarus. The Pennsylvania Treasury Department maintains a list of prohibited persons and entities that are ineligible to contract with Commonwealth agencies.

5.2.7 Submissions

Authorized Users shall initiate a review and follow the guidance outlined in the *IT Procurement Intake Standard*. OA/IT Enterprise reviewers, at their discretion, may add conditions of approval for IT Procurement Intake submissions. The agency is responsible for ensuring that the conditions of approval have been satisfied in coordination with the Submitter to mitigate risks.

5.3 Software Licensing and Contracts

5.3.1 Software Licensing

Acquisition or procurement of all software shall be in accordance with the *IT Project and Procurement Policy,* the *Commonwealth Procurement Code (62 Pa.C.S. § 101 et seq.)*, and all other applicable procurement policies and processes.
Prior to the procurement or use of any Third-Party Software or Data Subscriptions, Agencies shall:

- Ensure there is a negotiated software license or subscription agreement in place between the Commonwealth and the publisher.
- Ensure all applicable agreements have been identified, reviewed, and approved (including but not limited to any clickthrough or OSS agreements) as to form and legality if an existing software license or subscription agreement is not in place.

Prior to the procurement or use of any Third-Party Software or Data Subscription, Agency or OA legal counsel shall:

- Review the terms of the software license or subscription and advise on the potential legal risks associated with use.
- Review the use case and license terms as identified by the agency for potential conflicts with existing license agreements.

If an agreement cannot be established or the terms of the agreement cannot be adequately negotiated, agencies are strongly encouraged to select an alternate software or subscription. In the event that another software or subscription cannot be utilized either because of mandates or business requirements, agencies shall adhere to the process detailed in the *Non-Negotiated Software Agreements Procedure.*

Agencies shall ensure Authorized Users understand and comply with the applicable terms and conditions, such as any software license or subscription agreement, and that relevant training regarding the applicable terms and conditions is provided as part of education and awareness programs.

5.3.2 Software Contracts

For an agency to purchase software, there must first be a contract vehicle in place to purchase from. Software may be procured from one of the existing resellers on contract or through another contract vehicle. The *Software Contracts Procedure* provides guidance on determining if a software is available on contract and how to proceed in instances where it is not.

5.4 Pre-solicitation Review

Solicitations for information technology, such as Request for Proposal (RFP), Invitation to Qualify (ITQ), Request for Quote (RFQ), Request for Application (RFA), or Invitation for Bid (IFB) procurements in the amount of $250,000 or greater require a Pre- Solicitation Review Request to be submitted in accordance with the guidance provided in the *IT Procurement Intake Standard*. Approval for these solicitations shall be obtained through the appropriate Governing Bodies via the enterprise Pre-Solicitation Review process.

Sole Source (SS) and Emergency Procurements (EP) do not require pre-solicitation review/approval. These will be handled via the IT Procurement Intake Request as described in sections 5.2.3 and 5.2.4.

Note: The $250,000 threshold applies to the estimated total dollar value of the purchase(s) resulting from the solicitation rather than the annual spend. For example: If a single purchase costs $1,000,000, but covers a 5-year period the annual spend would only be $200,000, however an IT Procurement Intake Request would be required as the total commitment for the Commonwealth is $1,000,000.

Pre-Solicitation Review Requests and related artifacts shall be submitted once the IT Solicitation is far enough along in the development process that significant changes to the scope are not anticipated.

Please allow for a ten (10) business day review cycle for requests for the Pre-Solicitation Review(s).

5.5 Enterprise Service Catalog

Agencies and delivery centers shall review the Enterprise Service Catalog located at *https://itcentral.pa.gov/Pages/Enterprise-Services.aspx* (Commonwealth Access Only).

Agencies and delivery centers shall utilize all Enterprise Standards that are identified in the Enterprise Service Catalog if that Enterprise Standard is needed to support agency or delivery center business needs. An agency or delivery center is not required to consume the Enterprise Standard if the service is not needed, however, if future business needs require a service offering, agencies and delivery centers shall consume the service offering if it is categorized as an Enterprise Standard. Independent Agencies may be required to consume Enterprise Standard services that are identified in the Enterprise Service Catalog.

If agency or delivery center business needs necessitate nonconformity of an Enterprise Standard, they shall obtain an approved IT Policy exception via the process outlined in the *IT Policy Governance Policy*, prior to implementing non-Enterprise Standard services. The IT Policy exception request shall include justification of why the Enterprise Standard does not meet their business needs.

Any agency or delivery center may present a candidate for a new Enterprise IT Service Offering to OA/IT Enterprise by following the OA/IT Service Catalog Management Process,

located at *https://itcentral.pa.gov/Pages/Enterprise-Services.aspx* (Commonwealth Access Only).

All requests to add, change, or retire Enterprise IT Service Offerings shall be submitted to the appropriate enterprise governing bodies for final approval. OA/IT Enterprise shall be responsible for all change management processes to the Enterprise Service Catalog under the guidance of the appropriate enterprise governing bodies.

6. Contact

Questions or comments may be directed via email to OA, IT Policy.

7. Exception from Policy

In the event an agency chooses to seek an exception from this policy, a request for a policy exception shall be submitted via the enterprise IT Policy Governance Process. Refer to *IT Policy Governance Policy* for guidance.

8. Revision History

This chart contains a history of this publication's revisions. Redline documents outline the revisions and are available to Commonwealth users only during the drafting process.

Version	Date	Purpose of Revision
Original	01/06/2025	Base Document
Revision	02/24/2025	Updated title Added document control section. Updated the policy to reflect the new IT Procurement Intake process that replaces the former IT Investment process. Removed facilities hardening and servers and storage from purchases regardless of dollar amount. Added section 5.4 regarding Pre-solicitation Review. Reference added to IT Vendor Risk Assessment Policy.
Revision	06/xx/2025	Added clarification around when an IT Procurement Intake Request is required for open-source software.
Revision	08/15/2025	Reworded purpose section. Removed the requirement for a business proposal form. Added details for the new IT Project Request process in the enterprise project management system. Clarified who reviews and approves IT Project Requests. Changed the requirement for a project manager to be assigned. Removed project health section (to be reintroduced in a later phase) Removed exception language and clarified that an IT Project Request is required for all new agency requested projects requiring IT support or resources. Added a section regarding project time reporting. Added additional details around updating the application inventory. Added AI related software and services as requiring a procurement intake regardless of dollar amount. Added details around sole source procurements Added details regarding Iran Free Procurement Clarified PACS exception

Version	Date	Purpose of Revision
Revision	06/10/2026	Under purchases regardless of dollar amount added - software maintenance and support where there is no agreement. Staff Augmentation moved from 250k to regardless of dollar amount. Added guidance for mobile apps. Added minor clarification related to emergency procurements.
Revision	10/05/2026	Updated link to APM guideline document. Minor clarification related to Sole Source Procurements. Added the exclusion for “stand-alone mail metering systems”, consistent with the existing IT Procurement Intake Standard.
Revision	10/22/2026	Added Section 5.3, Software Licensing and Contracts, relocating requirements from the SDLC Policy.